

MARKET ANALYSIS

A \$200-to-\$400 Rent Target Just Met a \$1 Trillion Backstop at 625 Madison

Related's Polo Bar recruitment reveals how sovereign wealth is reshaping Manhattan office amenity economics.

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A source-grounded Light Tower Insight. The complete note follows.

625 Madison Avenue is a hole in the ground at 57th Street. By summer 2029, Related Companies expects it to be a 1,200-foot tower with asking rents between \$200 and \$400 per square foot. That range is not a forecast. It is a statement of intent backed by the most patient capital in the world.

The reported discussions to bring Ralph Lauren's Polo Bar to the building are the amenity equivalent of a credit enhancement. Polo Bar is not a restaurant. It is a reservation that signals status before a tenant signs a single lease. JLL's Evan Margolin put it plainly: there are only a handful of restaurants on that level, and everybody wants to go there. Related is not leasing square footage. It is selling access to a curated ecosystem where the dining option is itself a recruiting tool for the kind of tenant who can pay \$400 a foot.

The capital story underneath the amenity story is what matters. Saudi Arabia's Public Investment Fund took a two-thirds stake in the project last year, having already invested roughly \$200 million. A \$1 trillion sovereign wealth fund does not underwrite a development on the strength of its restaurant pipeline. It underwrites the thesis that Manhattan's top-tier office market will bifurcate further: that the buildings with the lowest basis, the best capital partners, and the most deliberate amenity strategies will command rents that leave the rest of the market competing on price.

Related purchased the site from SL Green in December 2023 for more than \$600 million. That price followed a decade-long saga in which SL Green finally wrested control from Ben Ashkenazy. The basis is known, and it is high. The PIF stake effectively recapitalized the project at a valuation that lets Related pursue a build-to-suit strategy for tenants who treat office space as a talent-retention expense, not a cost center.

General Atlantic is negotiating 150,000 square feet. Veritas is reportedly eyeing 90,000. Those are not speculative leases. They are anchor commitments that de-risk the construction loan and signal to the debt market that the building has institutional demand before it opens. The Polo Bar, if it signs, does something different: it signals that the building will function as a destination, not just a workspace. That distinction matters for the lenders underwriting the permanent financing in 2029.

The mechanism at work here is the conversion of sovereign patience into a competitive advantage that traditional developers cannot replicate. A developer dependent on bank construction debt and a forward-takeout has to hit rent targets within a narrow window. A developer backed by a \$1 trillion sovereign fund can afford to wait for the right tenant at the right rent, because the cost of waiting is borne by a balance sheet that measures returns in decades, not quarters.

That changes the incentive structure for every other landlord in the Midtown submarket. If 625 Madison can hold \$400 a foot, it sets a new comp for the top of the market. If it settles at \$200, it still clears a return for PIF because the basis was set with sovereign time horizons. The risk is asymmetrical: the downside is contained by the capital partner's patience; the upside is a new rent ceiling for Manhattan trophy office.

The Polo Bar recruitment is the visible edge of that asymmetry. Related is not just building an office tower. It is building a capital structure that lets it compete on amenities, timing, and rent in a way that no developer without a sovereign backstop can match. The restaurant is the amenity. The PIF stake is the real story.

For owners of Class A office assets in Manhattan, the question is not whether 625 Madison leases up. It is whether the rent comps it sets become the new baseline for tenant expectations, and whether the capital required to meet those expectations is available to anyone without a trillion-dollar partner.

SOURCES

— The Real Deal —

<https://therealdeal.com/new-york/2026/07/23/related-looks-to-recruit-polo-bar-to-625-madison/>

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